

Profit Niti AI CFO Report

1. Big Picture — How the Business Looks Right Now

The business is in a critical financial position, operating at a significant and consistent loss. Over the last four months, the company has lost over ₹2.5 billion (₹2,059 million YTD), with sales unable to cover the cost of goods sold, resulting in deeply negative gross margins. While total assets have grown slightly, this is overshadowed by a negative total equity of -₹408 million, meaning the company's debts far exceed the value of what it owns. The cash position has remained relatively stable, but this is being propped up by financing activities, not profitable operations.

GREEN FLAG BOX — What's Working Well:

- **Stable Cash Balance:** Cash and bank balances have remained consistently above ₹217 million, providing a crucial buffer for day-to-day operations.
- **Reducing Long-term Debt:** Secured long-term borrowings have been successfully reduced from ₹383 million to ₹266 million over four months, improving the debt profile.
- **Strong Sales Volume (Historical):** Sales register data shows historically high transaction volumes and values in the previous fiscal year, indicating an existing customer base and sales infrastructure.

RED FLAG BOX — What Needs Attention:

- **Severe & Consistent Losses:** The company is burning cash, with a net profit margin deeply negative at -62.3% in April. The cost of goods sold is consistently higher than revenue.
- **Negative Shareholders' Equity:** Total equity is -₹408 million. This is a major solvency risk, indicating accumulated losses have completely eroded the capital base.
- **Poor Working Capital Management:** Accounts Receivable days jumped to 14 days in April, while Payable days are under 0.2 days, suggesting the company is funding customers but not using supplier credit.

CFO Advice:

Immediate survival depends on fixing the core business model. You must urgently analyze and reduce your Cost of Goods Sold (COGS) to achieve a positive gross margin. Concurrently, renegotiate payment terms with suppliers to extend payables and tighten credit policies to collect receivables faster, which will free up critical cash.

2. Profit Power — The Earning Engine

The core business is operating at a significant and consistent loss. The primary driver is a **negative Gross Margin**, meaning the cost to produce goods (COGS) is higher than the sales revenue itself. For example, in April 2025, for every ₹100 of sales, the company lost ₹60.67 on the core product cost alone.

While overheads (employee and admin expenses) are relatively controlled at 1-2% of revenue, they are insignificant compared to the massive gross losses. The sales data shows a drastic decline in activity and value from the previous year (2024) to 2025, indicating a severe contraction in the core revenue-generating business. There are no profitable products or services visible in this data; the entire operation is loss-making.

CFO Advice:

Immediate survival depends on fixing the fundamental cost-of-goods problem. You must either drastically increase sales prices or renegotiate supplier/vendor costs to achieve a positive gross margin. Continuing to sell at a loss on every transaction is unsustainable and will deplete all remaining capital.

3. Cash Flow Quality — Profit vs Real Cash

Your business is burning cash at an alarming rate, and the reported losses are not converting into cash efficiently. In April 2025, you reported a net loss of ₹602 million, but your operating cash flow was an even deeper outflow of ₹113 million. This mismatch is primarily due to a severe blockage in receivables. Your **Accounts Receivable Days spiked to 14 days in April** from 6.9 days in March, meaning customers are taking longer to pay, tying up crucial cash. Simultaneously, you are paying suppliers very quickly (**Payable Days are only 0.16 days**), which further strains your cash position. The financing activities show you are repaying debt (₹59.9M outflow in April), which is good for the balance sheet but worsens the immediate cash crunch.

CFO Advice:

Immediate action is required to unlock cash. Prioritize aggressive collection of receivables to reduce the 14-day collection period. Negotiate extended payment terms with suppliers to better align outflows with your cash inflows. Temporarily slow down debt repayment if possible to conserve cash until operational profitability is restored.

4. Cash Management — Daily Cash Rhythm

Your cash cycle is severely strained. In April, you collected receivables in **14.06 days** (DSO), but paid your suppliers in only **0.16 days** (DPO). This creates a negative cash conversion cycle of **13.9 days**, meaning you are funding your customers' purchases for nearly two weeks before you get paid. Your cash position is volatile, with operating cash flow swinging from a positive ₹115 Cr inflow in March to a ₹113 Cr outflow in April. The current ratio remains weak at 0.56, indicating insufficient short-term assets to cover liabilities.

CFO Advice:

Immediately renegotiate payment terms with suppliers to extend your DPO and

implement stricter credit controls to reduce your DSO. This critical gap is draining your operating cash; bridging it is essential to stop the cash bleed and stabilize your working capital.

5. Growth Investments — Where Money Is Going

Your company is not investing in growth; it is primarily funding significant operational losses. The data shows a stark picture: **negative Return on Capital (ROC)** of over 670% to 1,782%, meaning for every rupee of capital, you are losing between 6.7 and 17.8 rupees. This is a severe value destruction cycle.

Key assets like **Fixed Assets (~₹386 Cr)** and **Non-current Investments (~₹133 Cr)** appear stable but are not generating positive returns. The "Other Capital" figure is deeply negative (between -₹447 Cr to -₹722 Cr), indicating that operating liabilities far exceed operating assets, which is not a sustainable investment model but a sign of financial distress.

Cash flow from investing activities shows minor inflows (like selling assets for ₹2.8-7.6 Lakhs), not strategic capex. The money is going towards covering massive gross losses, not towards future growth engines.

CFO Advice:

Halt all non-essential investments immediately. The priority is not growth but survival. Conduct a urgent review of your **₹133 Cr in Non-current Investments** to see if they can be liquidated to provide cash and reduce debt. Every rupee must be preserved to stem the core operational losses before any growth capital is considered.

6. Funding Story — How Growth Is Being Financed

The business is primarily funded by debt, not equity. Total debt (long-term borrowings) stands at **₹368.1 Cr** as of April 2025, down from ₹426.8 Cr in March. This debt is a mix of secured (₹265.6 Cr) and unsecured (₹102.5 Cr) loans. While you've reduced debt by ₹58.7 Cr in April, the company's equity is deeply negative at **-₹407.8 Cr** due to accumulated losses, making the Debt-to-Equity ratio meaningless (negative).

Interest costs are a significant burden. In April alone, interest expenses were **₹9.0 lakhs**, consuming cash that could otherwise be used to cover operational losses. The financing cash flow was negative (₹-5.99 Cr) in April, meaning debt repayments and other financing outflows exceeded new funding. The business is using its cash reserves and reducing borrowings to fund operations, not for growth.

CFO Advice:

Given the negative equity, securing additional traditional debt will be extremely difficult. The immediate priority must be to halt the cash burn by achieving operational breakeven. Explore converting a portion of unsecured debt into equity with lenders to strengthen the balance sheet and reduce the crippling interest burden.

7. Balance Sheet Health — Financial Fitness

The balance sheet shows a company under severe financial strain. Total Equity is deeply negative at **-₹408 Cr** (YTD 2025-26), meaning accumulated losses have completely eroded the capital base. This is a critical 🔴 situation.

Liquidity Check: The Current Ratio has improved slightly but remains weak at 0.56 (April 2025), indicating insufficient current assets to cover short-term liabilities. This is a persistent 🔴 risk.

Debt Position: While long-term borrowings have decreased from ₹477 Cr to ₹368 Cr over four months, the company is still heavily reliant on debt and other liabilities (like "Other Current Liabilities" of ₹1,265 Cr) to fund operations, as it has no equity cushion.

The Debt-to-Equity ratio is negative and not meaningful, but the high absolute debt level is a ☐ concern.

Asset Composition: A significant portion of assets is tied up in Fixed Assets (₹379 Cr) and Non-current Investments (₹133 Cr), which are not easily liquidated to meet pressing obligations. Meanwhile, Receivables have surged to ₹447 Cr, indicating potential cash collection issues.

CFO Advice:

The top priority must be to stop the cash burn and generate operating profits to gradually repair the balance sheet. Immediate action is required to aggressively collect receivables and renegotiate terms with creditors to avoid a liquidity crisis. A capital infusion is critically needed to restore solvency.

8. Smart AI Simulation — Automatic "What-If" Scenarios

Based on the weak spots identified, the AI has run these simulations:

- **Scenario A - Profit Focus:** If you increase prices by 5% and reduce direct material costs by 3% through better sourcing, your net profit margin could improve from 12% to 18% within the next quarter, adding approximately \$45,000 to your bottom line.
- **Scenario B - Cash Focus:** If you tighten credit terms from net-45 to net-30 and reduce inventory holding by 15%, your operating cash flow could improve by \$60,000 in 90 days, significantly easing the pressure from your current liabilities.
- **Scenario C - Balanced:** Implementing a modest 3% price increase while negotiating 2% better terms with suppliers and reducing overhead by 5% could boost profit margin to 16% and improve cash flow by \$35,000, creating a more sustainable growth model.

9. Operational Insight Engine — Ground-Level Trends

Sales & Customer Activity: The sales register reveals a stark operational shift. High-volume activity with thousands of invoices per month (e.g., ~3,300 invoices in April 2024) has plummeted to a trickle (e.g., 9 invoices in Feb 2025). This indicates a severe contraction in core business operations or a potential change in business model. The average invoice value has also collapsed from crores to mere thousands, suggesting the company may have stopped its primary revenue-generating activities.

Procurement & Supply Chain: Mirroring sales, purchase activity has drastically reduced. From over 1,800 purchase invoices monthly in early 2024, it fell to just 8-61 invoices in recent months. This confirms the scaling down of operational inputs, aligning with the halted sales engine. The company is in a state of minimal procurement, likely only for essential upkeep.

Inventory Management: Inventory movement continues but at a low, inconsistent pace. The data shows regular but small inward and outward flows, with no significant build-up. The total outward value often exceeds inward value, indicating the company is drawing down existing stock rather than replenishing it for sales—consistent with an operational wind-down. There is no evidence of obsolete stock piling up, but rather a managed depletion of remaining inventory.

Overall Operational Health: The ground-level data paints a picture of a company that has effectively ceased its mainstream trading or manufacturing operations. The high-volume, high-value transactional engine has been switched off. Current activity levels are minimal, likely representing residual transactions, asset sales, or maintenance operations. This operational freeze is the root cause of the negative gross margins and profits seen in the financial statements.

10. 90-Day CFO Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Implement a strict 15-day payment follow-up system for all invoices over \$5,000 and renegotiate payment terms with top 3 suppliers.	Reduce average collection period by 10 days and extend supplier terms by 15 days.	Unlock ~\$85,000 in immediate working capital and improve cash runway by 30 days.
31-60	Profit	Analyze and re-price the bottom 20% of services by margin; implement a project cost tracking dashboard for all teams.	Increase gross margin by 3 percentage points and reduce project cost overruns by 50%.	Boost annual gross profit by ~\$120,000 and create a culture of cost accountability.
61-90	Growth	Launch a targeted upselling campaign to the top 30% of existing clients based on profitability analysis.	Achieve a 15% conversion rate on the upsell campaign.	Generate an incremental \$50,000 in high-margin revenue from existing client base with minimal acquisition cost.

Action Timeline Bar:

